FIGR Q3'26: Beat, buyback and a new scorecard - Quick take

Nov 12, 2026 · @Sanskar

Figure (FIGR) reported another record quarter in Q3'26. Loan marketplace volume (LMV) was $5.8Bn, up 135% YoY and 35% QoQ. This includes one month of Kiavi ($677Mn). Standalone volume was $5.1Bn (+107% YoY), in the upper half of the $4.8-5.2Bn guide. Adjusted net revenue was $283Mn (+83% YoY, +30% QoQ). Standalone net take rate was 3.7%, better than management's previous guidance for the low end of the 3.5-4% range. Adjusted EBITDA was $164Mn, up 91% YoY and 37% QoQ, with margin expanding to 58%. [Beat vs consensus: to add from Bloomberg.] We share our key takeaways:

Kiavi acquisition closed: Kiavi closed on 1 Sep, ahead of schedule, and contributed $677Mn of volume in its first month. The acquisition adds ~$8Bn of annual run-rate volume and takes Figure into residential transition loans (RTL) and debt service coverage ratio (DSCR) loans - in September, Figure originated $616Mn of RTL and $67Mn of DSCR loans. Pre-acquisition, Kiavi used its technology only for its own direct-to-investor brand. Figure plans to open this technology to its partner network, with 12 existing partners already onboarded and 30+ in the pipeline. DSCR will be offered on a brokered basis this quarter, followed by a white-label Figure Connect product next quarter. In RTL, Sixth Street bought Kiavi's balance sheet and now originates on Figure's rails under a forward flow commitment. Integration is ahead of plan - Kiavi loans are already tokenized and Figure has actioned $30Mn of its $35Mn cost synergy target. Kiavi has historically grown volume 25-35% a year before revenue synergies, which is why management calls 2027 "the year of the upsell".

HELOC demand holds up as rates rise: Figure's core HELOC product benefits from higher interest rates, as homeowners do not refinance low-rate first mortgages and instead take up second-lien HELOCs. Figure's origination technology funds HELOCs in a median of 10 days (vs ~45 days for other lenders), allowing partners to reprice quickly as rates move. Management mentioned continued interest from new partners who want to add HELOCs to their product suite - with Figure 80%+ B2B, higher rates are helping its sales motion. Higher rates do weigh on the consumer funnel at the margin, but this did not show up in volumes. September LMV was a record $2.5Bn, even as the 5-year Treasury averaged 4.8% (vs 4.3% in July). Capital markets execution also held up, with Figure placing $4.7Bn through securitizations and whole loan sales in Q3 (vs $4.2Bn in Q2) and adding AAA buyers like New York Life and Nationwide. With over 70% of volume on Connect and balance sheet loans hedged before sale, Figure's P&L has limited direct rate exposure.

New loan categories gain traction: Figure's product mix is diversifying beyond HELOCs. With Kiavi's RTL and DSCR loans, first lien rose to 41% of September volume, vs 18% for Figure standalone. SMB lending, where homeowners use home equity to fund small businesses, crossed a $500Mn volume run-rate with 150+ partners. No SMB originator is on Figure Connect yet, which leaves room for further growth. In auto, Figure plans a securitization with Agora in the coming months. Agora brings a network of dealers, while Figure's existing whole loan investors already buy auto loans, hence both sides of the marketplace are in place. Third-party assets are also building on Prime (formerly Democratized Prime), where third-party borrowing reached $193Mn (up ~337% QoQ) and five new originators launched in the quarter.

Figure Connect grows: Figure Connect volume was $4.3Bn, up 276% YoY, and now makes up 73% of LMV (65% in Q2'26, 46% in Q3'25). On a standalone basis Connect was 72%, already at the ~70% medium-term level management set only last quarter. As more volume moves to Connect, revenue is shifting towards fees - ecosystem and technology fees were $110Mn, up 207% YoY, and now contribute ~39% of adjusted net revenue (~33% in Q2'26).

Partner network expands: Figure added a record 123 partners in Q3, taking its standalone network to 612, or 894 including Kiavi's broker partners. Growth is also coming from existing partners, with those on the platform since Q3'25 now doing 40%+ more volume. Depositories are an emerging channel with 20+ active partners, and management mentioned a pipeline that includes mortgage companies and banks larger than any current partner. Figure's AI loan officer assistant, built with Sierra, is adding to the pitch - it has raised funded dollars per loan approval by 29%, and prospects now cite it as a key buying criterion.

Net take rate beats, margins expand: Standalone net take rate was 3.7%, ahead of management's guidance for the low end of the 3.5-4% range, and 3.5% including one month of Kiavi. Gross take rate declined to 3.9% (4.2% in Q2'26) as the mix shifted to Connect, but customer acquisition cost also fell to 0.4% of volume from 0.6%, as Connect carries no acquisition cost. Within Connect, HELOC gross take rate actually rose to 3.4% from 3.1% in Q2'26. Operating leverage drove adjusted EBITDA margin to 58%, up ~3pp QoQ and close to the 60% medium-term target. This was the last quarter of net take rate reporting - Figure will now report gross take rate by product and disclose contribution margin from the Q4 call.

Q4'26 outlook: Management guided Q4 LMV at $6.2-6.7Bn (+138% YoY at the midpoint), including a full quarter of Kiavi. The guide builds in a 10-15% seasonal decline vs Q3, and management expects to land near the midpoint. Figure no longer guides net take rate, and has guided gross take rate at 3.1-3.4% vs 3.9% in Q3. We believe the lower range reflects a full quarter of lower take rate RTL volume (1.5-2.0%) and a lower Connect HELOC range (2.9-3.4%). Margins will fall in Q4, as Kiavi ran at or below 40% EBITDA margin pre-Figure

and adds $18-23Mn of incremental adjusted expenses, while seasonally lower volumes reduce operating leverage. Management expects margins to recover in 2027 as revenue synergies and operating leverage kick in. Separately, Figure expanded its buyback to $400Mn (from $200Mn), starting 13 Nov.

Exhibit data

This is the data for the standard exhibit pack, using the recast figures from the Q2'26 and Q3'26 decks. Q3'26 is consolidated, with one month of Kiavi. Prior periods are not recast for Kiavi.

Metric	Q3'25	Q4'25	Q1'26	Q2'26	Q3'26
LMV ($Bn)	2.5	2.7	2.9	4.3	5.8
Figure Connect share (%)	46	54	56	65	73
Adjusted net revenue ($Mn)	155	-	167	218	283
Adjusted EBITDA ($Mn)	85	-	83	119	164
Adjusted EBITDA margin (%)	55	-	50	55	58
Ecosystem and tech fees ($Mn)	35.7	41.4	47.3	72.9	109.8
Gross take rate (%)	5.2	4.6	4.5	4.2	3.9
Net take rate (%)	4.4	3.9	3.8	3.6	3.5 (3.7 standalone)
Partners (standalone)	246	307	387	489	612 (894 incl Kiavi)
Prime matched offers ($Mn)	22	206	368	392	588
YLDS in circulation ($Mn)	22	328	598	556	504

The recast Q4'25 revenue and EBITDA are not in either deck. Our published figures were $158Mn and $81Mn on the old definitions. The recast net take rate for Q4'25 is 3.9%, vs 3.8% in our earlier exhibits.

Two new exhibits are worth adding. The first is the gross take rate by product (deck p8). The second is the September volume split - HELOC $1,765Mn, RTL $616Mn, DSCR $67Mn (deck p6).

Investment implications

We rate FIGR Outperform PT $70.

Open items before publishing

- Consensus: The beat vs consensus for revenue and EBITDA (Exhibit 1) still needs Bloomberg figures.
- PT and rating: Confirm PT $70 is still current. It was last set on 6 Aug.
- Connect share: The CFO said 74% on the call. The deck and the release ($4,259Mn / $5,796Mn) give 73%. We use 73%.
- Kiavi volume: The CFO said ~$670Mn. The release and the deck footnote say $677Mn. We use $677Mn.
- Capital markets: The CEO cited "$2.7 billion of loan sales" and eight securitizations. Deck p7 shows $2.7Bn of securitization contributions plus $2.0Bn of whole loan sales. We use the deck's $4.7Bn total.
- Q2'26 note: The "32% of net revenue" for ecosystem and tech fees ties to GAAP net revenue ($72.9Mn / $225.6Mn). On adjusted net revenue it was ~33%. Q3'26 is ~39% on adjusted ($109.8Mn / $283.3Mn) and ~38% on GAAP.

Sources

- Figure Q3 2026 results press release - read through a fetch tool that returns extracted figures, not the full page text
- Figure Q3 2026 earnings presentation, 12 Nov 2026 (uploaded) - pp. 3-9 KPIs and take rate, p. 12 GAAP/non-GAAP reconciliation, p. 13 definitions
- Bloomberg final transcript, Figure Q3 2026 earnings call, 12 Nov 2026 (uploaded)
- Figure Q2 2026 earnings presentation and Bernstein FIGR notes of 6 Aug and 13 Aug 2026 (uploaded earlier) - prior-quarter recast figures and model estimates